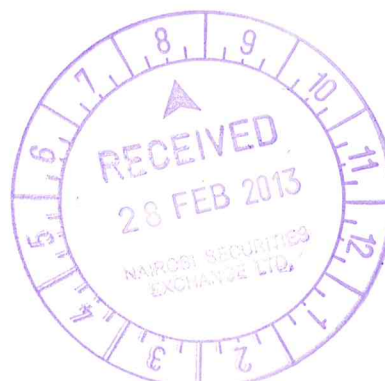


28th February, 2013

The Chief Executive Officer
Nairobi Securities Exchange Limited
Kimathi Street, Nation Centre, 1st Floor
P O Box 43633-00100
NAIROBI

Attn: Mr. Peter Mwangi



Dear Sir,

RE: EQUITY BANK GROUP AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st DECEMBER, 2012.

We wish to publish our audited financial statements as at 31st December, 2012. The financial statements have been duly approved by the Central Bank of Kenya and the bank's Board of Directors.

Subject to approval of shareholders at the Annual General Meeting scheduled for 27th March, 2013 at KICC Nairobi at 10.00am, the directors have recommended a first and final dividend of Kshs.1.25/= per each ordinary share of Ksh.0.50/= for the year ended 31st December, 2012. The proposed dividend will be paid to shareholders on the register of members of the company at the close of business on 15th March, 2013.

The following documents are enclosed for your information:-

- a) A copy of the audited financial statements for the year ended 31st December, 2012;
- b) Statement of changes in equity for the year ended 31st December, 2012;
- c) Statement of cash flows for the year ended 31st December, 2012.

We take this opportunity to express our appreciation for your support and cooperation.

Yours faithfully
Equity Bank Limited



Dr. James Mwangi, CBS
Managing Director & CEO

Encls.

EQUITY BANK GROUP

AUDITED FINANCIAL STATEMENTS

AND OTHER DISCLOSURES AS AT 31ST DECEMBER 2012



STATEMENT OF FINANCIAL POSITION

A. ASSETS

1. Cash (both Local & foreign)	
2. Balances due from central Bank of Kenya	
3. Kenya Government securities	
4. Foreign Currency Treasury Bills and Bonds	
5. Deposits and balances due from banking institutions	
6. Deposits and balances due from banking institutions abroad	
7. Government and other securities held for dealing purposes	
8. Tax recoverable	
9. Loans and advances to customers (net)	
10. Investment securities	
11. Balances due from group companies	
12. Investments in associates	
13. Investments in subsidiary companies	
14. Investments in joint ventures	
15. Investment properties	
16. Property and equipment	
17. Prepaid lease rentals	
18. Intangible assets	
19. Deferred tax asset	
20. Retirement benefit asset	
21. Other assets	

22. TOTAL ASSETS

B. LIABILITIES

23. Balances due to Central Bank of Kenya	
24. Customer deposits	
25. Deposits and balances due to Local banking institutions	
26. Deposits and balances due to Foreign banking institutions	
27. Other money market deposits	
28. Borrowed funds	
29. Balances due to group companies	
30. Tax payable	
31. Dividends payable	
32. Deferred tax liability	
33. Retirement benefit liability	
34. Other liabilities	

35. TOTAL LIABILITIES

C. SHAREHOLDERS' FUNDS

36. Paid up/Assigned capital	
37. Share premium / (discount)	
38. Revaluation reserve	
39. Retained earnings / Accumulated losses	
40. Statutory Loan Loss reserve	
41. Proposed dividends	
42. Capital grants	

43. TOTAL SHAREHOLDERS' FUNDS

44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS

STATEMENT OF COMPREHENSIVE INCOME

INTEREST INCOME

1.1. Loans and advances	
1.2. Government securities	
1.3. Deposits and placements with banking institutions	
1.4. Other	

1.5 Total Interest income

INTEREST EXPENSES

2.1. Customer deposits	
2.2. Deposits and placements from banking institutions	
2.3. Other Interest expense	

2.4 Total Interest Expenses

NET INTEREST INCOME

OTHER OPERATING INCOME

4.1. Fees and commissions income on loans & advances	
4.2. Other Fees and commissions income	
4.3. Foreign exchange trading income	
4.4. Dividend Income	
4.5. Other income	

4.6 Total Non-Interest Income

TOTAL OPERATING INCOME

OPERATING EXPENSES

6.1. Loan Loss Provision	
6.2. Staff costs	
6.3. Directors' emoluments	
6.4. Rental charges	
6.5. Depreciation on property and equipment	
6.6. Amortisation charges	
6.7. Other operating expenses	

6.8 Total Operating Expenses

Profit/(loss) before tax and exceptional items

Profit/(loss) after exceptional items

Current tax

Deferred tax

Profit / (loss) after tax and exceptional items

Earnings Per Share (Shs)

Dividend Per Share (Shs)

OTHER DISCLOSURES

1) NON PERFORMING LOANS AND ADVANCES

a) Gross non performing loans and advances	
b) Less Interest in suspense	
c) Total Non-Performing loans and advances (a-b)	
d) less Loan loss provision	
e) Net non - performing loans (c-d)	
f) Discounted value of securities	
g) Net NPLs Exposure (e-f)	

2) INSIDER LOANS AND ADVANCES

a) Directors, shareholders and associates	
b) Employees	
c) Total insider Loans and Advances and other Facilities	

3) OFF BALANCE SHEET ITEMS

a) Letter of Credit, guarantees, acceptances	
b) Forwards, Swaps and Options	
c) Other contingent Liabilities	
d) Total contingent Liabilities	

4) CAPITAL STRENGTH

a) Core Capital	
b) Minimum statutory capital	
c) Excess / (deficiency)	
d) Supplementary capital	
e) Total Capital (a+d)	
f) Total Risk Weighted Assets	

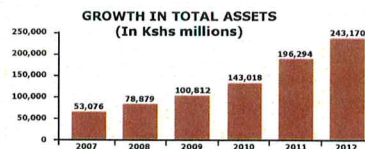
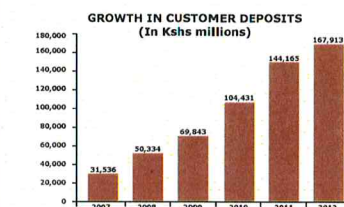
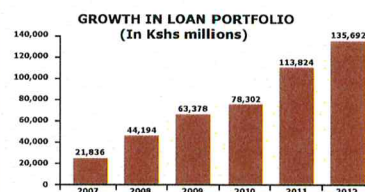
Ratios

g) Core Capital / Total Deposit Liabilities	
h) Minimum statutory ratio	
i) Excess / (deficiency) (g-h)	
j) Core Capital / Total Risk Weighted Assets	
k) Minimum statutory Ratio	
l) Excess / (deficiency) (j-k)	
m) Total Capital / Total Risk Weighted assets	
n) Minimum statutory Ratio	
o) Excess / (deficiency) (m-n)	

5) LIQUIDITY

a) Liquidity Ratio	
b) Minimum statutory Ratio	
c) Excess / (deficiency) (a-b)	

	BANK		GROUP CONSOLIDATED	
	31/12/11 Shs. 000	31/12/12 Shs. 000	31/12/11 Shs. 000	31/12/12 Shs. 000
Audited	Audited	Audited	Audited	Audited
1. Cash (both Local & foreign)	4,507,264	4,878,652	7,166,639	7,703,654
2. Balances due from central Bank of Kenya	8,565,694	13,395,120	8,565,694	13,395,120
3. Kenya Government securities	22,604,042	22,798,317	22,616,694	22,844,379
4. Foreign Currency Treasury Bills and Bonds	-	-	26,301	7,959,084
5. Deposits and balances due from banking institutions	1,734,925	9,941,086	1,734,925	9,997,868
6. Deposits and balances due from banking institutions abroad	4,322,572	7,252,137	17,814,951	14,037,451
7. Government and other securities held for dealing purposes	7,594,887	9,993,377	7,594,887	9,993,377
8. Tax recoverable	-	-	53,484	55,330
9. Loans and advances to customers (net)	106,486,367	122,410,013	113,823,792	135,692,125
10. Investment securities	-	-	264,588	304,520
11. Balances due from group companies	1,318,595	983,421	123,060	2,286
12. Investments in associates	1,259,696	1,113,049	1,365,892	1,456,447
13. Investments in subsidiary companies	6,672,186	8,204,101	-	-
14. Investments in joint ventures	-	-	-	-
15. Investment properties	8,494	8,494	8,494	8,494
16. Property and equipment	6,044,159	6,529,844	7,593,617	9,071,802
17. Prepaid lease rentals	4,184	4,184	28,661	292,358
18. Intangible assets	1,075,697	1,122,641	2,237,346	2,301,522
19. Deferred tax asset	236,571	744,341	243,546	819,876
20. Retirement benefit asset	-	-	-	-
21. Other assets	4,473,664	6,450,569	5,031,306	7,234,765
22. TOTAL ASSETS	176,910,996	215,829,300	196,293,896	243,170,458
B. LIABILITIES				
23. Balances due to Central Bank of Kenya	-	-	-	-
24. Customer deposits	121,774,061	140,285,671	140,446,501	165,812,458
25. Deposits and balances due to Local banking institutions	3,718,360	2,100,325	3,718,360	2,100,325
26. Deposits and balances due to Foreign banking institutions	-	-	-	-
27. Other money market deposits	-	-	-	-
28. Borrowed funds	13,768,876	25,755,053	14,792,277	26,568,809
29. Balances due to group companies	-	-	-	-
30. Tax payable	417,108	2,257,874	487,452	2,365,036
31. Dividends payable	17,265	16,246	17,265	16,246
32. Deferred tax liability	-	-	536	38,122
33. Retirement benefit liability	-	-	-	-
34. Other liabilities	2,167,906	2,742,368	2,545,957	3,353,074
35. TOTAL LIABILITIES	141,863,576	173,157,537	162,008,349	200,254,070
C. SHAREHOLDERS' FUNDS				
36. Paid up/Assigned capital	1,851,388	1,851,388	1,851,388	1,851,388
37. Share premium / (discount)	12,161,021	12,161,021	12,161,021	12,161,021
38. Revaluation reserve	(1,062,134)	(731,853)	(1,712,012)	(1,372,213)
39. Retained earnings / Accumulated losses	17,974,523	24,308,413	17,715,214	25,034,934
40. Statutory Loan Loss reserve	419,845	454,323	567,159	566,733
41. Proposed dividends	3,702,777	4,628,471	3,702,777	4,628,471
42. Capital grants	-	-	-	46,054
43. TOTAL SHAREHOLDERS' FUNDS	35,047,420	42,671,763	34,285,547	42,916,388
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	176,910,996	215,829,300	196,293,896	243,170,458



These financial statements are extracts from the books of the institution as audited by Ernst & Young and received unqualified opinion.

The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the Institution's Website: www.ke.equitybankgroup.com

They may also be accessed at the institutions head office located at Equity Centre, 9th floor, Hospital Road, Upper Hill, after approval by members at the Annual General Meeting.

Signed: **DR. JAMES MWANGI, CBS**
CHIEF EXECUTIVE OFFICER/ MANAGING DIRECTOR

Signed: **MR. PETER K. MUNGA, CBS**
CHAIRMAN



EQUITY BANK LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2012

Bank

In millions of Kenya Shillings

For the year ended 31 December 2012

	Share capital	Share premium	Retained earnings	Loan loss reserve	Available for sale reserve	Proposed dividend	Total equity
As at January 2012	1,851	12,161	17,974	420	(1,062)	3,703	35,047
Total comprehensive income:	-	-	10,997	-	-	-	10,997
Profit for the year	-	-	(34)	34	-	-	330
Other comprehensive income	-	-	-	-	-	-	-
Loan reserve transfers	-	-	-	-	-	(3,703)	(3,703)
Dividends:	-	-	-	-	-	-	-
Final for 2011 paid	-	-	-	-	-	-	-
Proposed for 2012	-	-	(4,629)	-	-	4,629	-
At 31 December 2012	1,851	12,161	24,308	454	(732)	4,629	42,671

For the year ended 31 December 2011

As at January 2011	1,851	12,161	11,941	382	(990)	2,962	28,307
Total comprehensive income:	-	-	9,774	-	-	-	9,774
Profit for the year	-	-	-	-	(72)	-	(72)
Other comprehensive income	-	-	-	-	-	-	-
Loan reserve transfers	-	-	(38)	38	-	-	-
Dividends:	-	-	-	-	-	-	-
Final for 2010 paid	-	-	-	-	-	(2,962)	(2,962)
Proposed for 2011	-	-	(3,703)	-	-	3,703	-
At 31 December 2011	1,851	12,161	17,974	420	(1,062)	3,703	35,047



EQUITY BANK LIMITED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2012

<i>In millions of Kenya Shillings</i>	2012	2011
Cash flows from operating activities		
Net profit before taxation	16,060	12,104
Adjustments for:		
Depreciation	1,734	1,339
Amortisation of intangible assets	284	145
Profit on disposal of Property and equipment	(6)	(3)
Provision for non-performing loans	1,456	1,533
Share of profit of associate	147	-
Dividends received	-	(49)
Interest on term borrowings	1,508	806
Operating profit before working capital changes	21,183	15,874
Loans and advances	(17,380)	(35,118)
Other assets	(1,642)	(1,472)
Finance lease Receivable	-	-
Customer deposits	16,893	30,289
Due from related parties	-	144
Other liabilities	573	(73)
Cash generated from operations	19,627	9,644
Income taxes paid	(3,728)	(2,747)
Net cash generated from operating activities	15,899	6,897
Cash flows from investing activities		
Purchase of property, equipment & prepaid leases	(2,236)	(1, 689)
Purchase of intangible assets	(330)	(467)
Proceeds from sale of property and equipment	22	4
Investment in subsidiary	(1,532)	(1,588)
Dividend received	-	49
Purchase of Investment Securities	(16,760)	(22,248)
Proceeds from sale of investments securities	14,498	23,888
Net cash generated from / (used in) investing activities	(6,338)	2,204
Cash flows from financing activities		
Dividend paid	(3,702)	(2,962)
Proceeds from long term borrowings	13,745	7,502
Repayment of long term borrowings	(1,759)	(1,197)
Interest paid on term borrowings	(1,508)	(806)
Net cash flow generated from financing activities	6,776	2,537
Net increase in cash and cash equivalents	16,337	11,638
Effect of foreign currency translation reserve on cash and cash equivalents	-	-
Cash and cash equivalents at the beginning of the year	19,130	7,492
Cash and cash equivalents at the end of the year	35,467	19,130